

Morgan Stanley Global Consumer & Retail Conference 2021

Company Participants

- Edwin Negron, Chief Financial Officer
- John Fieldly, Chief Executive Officer

Other Participants

- Bruce Williams, Morgan Stanley

Presentation

Bruce Williams {BIO 5591374 <GO>}

Great. Good morning, everyone. I'm Bruce Williams. I lead our beverage coverage from an investment banking standpoint here at Morgan Stanley. Very excited to be joined today by Celsius Holdings. Specifically, we have CEO, John Fieldly; and CFO, Edwin Negron. The format of today's call will be a Q&A.

Before we start, I'm required to give a brief legal disclaimer, so please bear with me here. For important disclosures, please see Morgan Stanley research disclosures web site at www.morganstanley.com/researchdisclosures. If you have any questions, please reach out to your Morgan Stanley sales representative.

So with that, guys, very excited to jump in. We're super excited to have John and Edwin join us here and we'll kick things off.

John Fieldly {BIO 17560616 <GO>}

Excellent. Thank you, Bruce. We're excited to be here. Thank you.

Questions And Answers

Q - Bruce Williams {BIO 5591374 <GO>}

(Question And Answer)

Perfect. So the first question, guys, what do you consider to be some of the largest drivers of momentum in the energy drink space and what will be the key drivers of growth for the energy drink space moving forward?

A - John Fieldly {BIO 17560616 <GO>}

Yes. Bruce, we look at the overall category, which is fascinating about the category, it continues to grow. I mean, if you go back over a decade, the category is continue to be one of the top drivers of growth in the beverage -- total beverage category.

So we feel the company with CELSIUS being a new age energy drink and really coming up from the fitness locations and really driving on the some of the key drivers today with mainstream consumers. We have a big opportunity that lies ahead of us. But some of the key drivers is, we're all working more, we're working harder at home, at your lives, cell phones come out. Now you can get away from work, it's 24 hours a day, we're always on. I think it's -- everyone wants more energy. We need to do more, we need to compute more and our lives are more busier now than 10 years ago.

A - Edwin Negron {BIO 20717398 <GO>}

I would like to add as well. For better world or worse, the health and wellness trends they're driven by the aspects that we're living now with COVID and all these variants, that's also going to drive, I think a lot of emphasis on health and wellness trends like we are functional fitness trends. And that's where the category is going.

I mean, if you go back over five years ago, everything was better for you. If you go back five, six years ago was better for you. It was all organic, it was non-GMO is very important. But the problem was this consumers we talked about it at trade shows and everyone talked about industries ExpoWest, ExpoEast and in the industry, but consumers hasn't really been a leader in the category and really take position. There's some brands that come out. People don't want to sacrifice flavor.

What's interesting about the Celsius portfolio and everyone's touches on it, where the categories going, this fitness and health and wellness and better for you and now more than important ever before. Celsius hits on those really better for you. We have seven essential vitamins, we got green tea, ginger guarana, but we don't sacrifice flavor.

So that's really great thing that consumers really like about the product and then we offer functionality. So, we're not just offering just energy, energy 2.0, we offer enhanced thermogenic. We offer calories and body fat, we help you achieve your health and wellness trends. But the overall category is a good place.

I think it's if you look at what Red Bull did over the last 12 months, I mean the execution of Red Bull hats off. But nominal operators, great I mean they've been able to take advantage in the trade with their self distribution models, getting higher velocities, the growth has been there. The category is going to continue to grow. We feel, I think there's a latest data report that came out and it showed that the category by 2025, is going to continue growing over 6% CAGR.

And that's what I was going to mention, John. If you want to expand like the demographics, the demographics expand and I think that's also going to drive a lot of growth.

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean the growth number one, we're drinking more of these products. We are drinking more energy drinks throughout the day and then there's new consumers coming to the category. So where's this growth coming soon? We're seeing more emails into the category for than ever before.

So, that's adding incremental growth. The new consumers coming in here Gen Z, Gen Centennials are consuming more energy drinks on a per cap basis as well. So we're seeing increased velocity. You saw decreases in CSPs, the tea products, I mean energy as part of our daily lives and that's what we're here, that's why Celsius is the essential energy to live in, that's really our mantra that we continue to drive forward, but the categories were in great position to great category of drink.

Q - Bruce Williams {BIO 5591374 <GO>}

Very helpful, guys, and I think we agree, you're definitely always on. With increasing competition in the space and you touched on this a little bit, but how do you think you've positioned the brand and the product to stand out and differentiate itself relative to peers?

A - John Fieldly {BIO 17560616 <GO>}

Yes. That's what gives us a really unique position when you look at the differentiation. Celsius is one of the only products in the category that's backed by science. We have over six clinical studies conducted and published in peer-reviewed sports nutrition journals that we have done in Oklahoma University by Jeff Houge, who's world renowned sports nutrition scientist, product has been reviewed by that a class lawsuits in 2010 in California on the constructor function claims the company made on the products of the product and the claims and the functionality is truly one of the only proven functional energy drinks on the market today.

And when I talk about that Energy 2.0 or the energy for the future, I mean that's what Celsius delivers on, it's efficacious, it works the product back. It's extremely difficult to replicate, it can be done, but it's going to take a lot -- you have to go through the science process. Actually when Celsius launch Coke and Nestle created in which was a negative calorie soda back in the day and unfortunately that was shut down, but they have to see it from my understanding.

But we have a very unique position. There's other products on the market that are coming. Competition is always going to come. I mean, the beverage industry, the barriers to entry are extremely low, the barriers to stay are extremely high. So that's what -- we've been over a decade in the making here. It's -- we built in the gyms and health clubs and as health and wellness trends continue to scale, we've continued to gain more momentum and traction.

A - Edwin Negron {BIO 20717398 <GO>}

Yes. And I think , other aspects and you'll talk about differentiation is our core kind of ingredients green tea guarana, the ginger that kind of thing, but again are very well aligned with all the health and wellness trends that we're seeing. I think that's a key differentiation as well as we continue to position the brand in that respect.

And one of the thing we hear is a lot of -- especially individuals that are new to the consumer or older demographic entering the category for the first time, what they will be here about Celsius and the way the products built, the products built with over seven essential vitamins as I mentioned. The founders did it extremely well because one thing we hear you got no crash and no jitters.

So some of these other energy drink products, you consume them, you hit, you go high and then will suddenly you crash, you get jitters, your nerves, your feelings like anxiety. Some of these things are not a great experience. One thing we hear on Celsius and that's why we have such a high continuity rate is people really enjoy the product. It's a nice sustained energy without the crash. So -- and it's the way the products build, it's the way the green tea, the caffeine, some of the other vitamins we have in the product that are able to offer a really good experience to the consumers when they consume the product.

Q - Bruce Williams {BIO 5591374 <GO>}

Thanks a lot, guys. And how do you think about the Celsius sales growth algorithm moving forward? You have same-store sales growth, you have new points of distribution, e-commerce, innovation. Can you walk us through how you think about the algorithm moving forward?

A - John Fieldly {BIO 17560616 <GO>}

Yes, absolutely. At our third quarter, we reported our total ACV which is all cumulated distribution. So that's kind of like the number of stores we're in percentage up. We're at about 34%. So about 34% of the total stores, latest data showed us that we were in reporting store.

So lots of opportunity to continue to scale there and new distribution, which is one of the big growth drivers which we're working hard on. We have one of the greatest naps shows in company history in October and it's not familiar with NAX. It's one of the largest convenience store shows in the country and what's interesting about Celsius, what we're doing here is we're back dooring the energy drink category, which is in convenience.

So, we've built a brand indoor and the gyms and health clubs, grocery, mass drug, Amazon, number two energy drink on Amazon, we have 18% share. And now we're getting into convenience as we activate this DSD network. So those are some key drivers. So you got new distribution. Number two is expanding and optimizing our existing distribution. I think there's a lot of opportunity there.

We want replacement in each store cold, warm on-shelf and the secondary display. And that's really activating that DSD getting better in store replacements, we got coolers, we're looking to place. We've placed over 900, we got a variety of coolers to be placed over the next several months and into 2022. And then there are the big driver is the innovation pipeline.

So we got some great flavors. I'm drinking a new flavor here. It's a Strawberry, Guava, phenomenal. We've initially launched it in the gyms and health clubs and now it's rolling out into other stores, mainstream retail, product taste phenomenal, the team's got a great job on that's one has a Fuji apple pear that's done extremely well as well, great flavor combinations, innovative to the category and then we launched our Vibe line, which is a sub line.

We're able to really drive some great excitement and really great branding behind it to get a tropical vibe most recently prior to that vibe, peach vibe. And then this summer, we have another vibe coming that's we're really excited about. So, combination, innovation, optimization of existing stores and then new distribution.

A - Edwin Negron {BIO 20717398 <GO>}

And to me, that's the key, John, in terms of optimizing the retailers. We've seen through the DSD network, when you get that specialized call, white blood type of execution, that really boost sales when you have better positioning, when you have more spews, when you like, as John mentioned, when you have cold product, when you have a cooler closer to the check out, all those things exponentially drive or promote additional sales or incremental sales and we're seeing that.

Q - Bruce Williams {BIO 5591374 <GO>}

That's great, guys. And just staying on the distribution point, you've publicly announced the 80% long-term target for DSD distribution. Can you talk a little bit about that strategy, the implementation and how you settled out that 80% number as the right target number?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean, we pick 80% because ideally most of our district -- a good portion of our distribution will be serviced by DSD that's traditional retail, but there is a portion of it that will not -- that potentially will not be and that's going to be potentially the health and fitness channel and then also some specific retailers for their own internal supply chain requirements, but in general, we are fully supported the DSD.

We're working on flipping, all of our accounts over as many as we can, as quickly as we can. It's a lot of timing and sequencing. It sounds easy, it's very difficult and you need a lot of help from the retailers to convert that over. So we're doing regions. CBS, we've done great progress with them. We still got a lot of regions to flip over, but that's been taking place all through 2021.

We've been slowly moving migrating regions over to DSD, Target has been about 95% converted, Walmart has been converted. We're working on 7-Elevens as well. So

a lot of the settle letter regions and it's retailer by retailer. And as Edwin mentioned, once we do that and we were able to really see the power of the DSD and get that optimize which takes several months to get that optimized, it takes -- it's not like flicking a switch, but once we get it optimized with the DSD and really see the velocity have increased.

A - Edwin Negron {BIO 20717398 <GO>}

Yes. I mean just to add to that again a little bit of a perspective because it's important to visualize is even from a back office, call it financial support, we need to establish the distributors, we need to look at credit limits, all these things and then like John mentioned, then make sure that there will be inventory that's in the retailer, then make sure that that is diminished and then you probably supply inventory to the distributor, get their sales force trained on our product. I mean, it's a journey, it's a path that needs of all. It's not like flipping a switch like John mentioned.

A - John Fieldly {BIO 17560616 <GO>}

Yes. And if you look, I mean, our distributors have been up about just a total about over 300% growth rates. So we saw that in Q2 and Q3. So, lots of opportunities. I mean, it's a -- the teams are doing a great job, we've been hiring. And that's really -- it's a lot of people power to really activate these markets.

And we've hired probably about 60 people over the last 60 days. We got another 60 job openings right now, it's under hire, really good individuals. The good news is we're finding really good talent to join our team. So we're continuing to grow there and that's going to help us better manage. It's a no one's going to build our brand except for us.

So it's important that we own our brand, we educate that Edwin was speaking about, we have to educate about branding opportunity. And once they see the opportunity, it starts to gain momentum within the house. We have some of these distributors were up substantially. Our team goes in, we do blitzes, we've been able to educate and they start to see the opportunity as Celsius has and like anyone, they go after the dollar. So whatever brand sells brings and as long as we continue to sell, I think will be continue to win.

Q - Bruce Williams {BIO 5591374 <GO>}

And guys, we talked a lot about the waiver innovation that's taking place. Are there any other adjacencies that you find particularly interesting? There's clearly been no lot of news around the how shelter faced. I know you publicly stated that you have no interest in getting into that space. But are there any other sub sectors of beverage that you view as particularly interesting for the company to explore?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean, we're constantly looking at opportunities. Right now, it's very critical. We stay focused on the core opportunity, which is our core line. So we're extremely focused on that. I think that's important. We don't get distraction, we got an amazing

opportunity here with Celsius. We're going to continue to drive that through, but we are looking and exploring opportunities for the next phase of growth as well.

And when you look at our core portfolio, we've already created sub lines that we have the opportunity. Once we succeed and continue to drive out that core portfolio, we'll be able to bring in our CELSIUS HEAT, which is in mainly in the fitness channel today. It's a 16 ounce can, it's performance energy as over 300 milligrams of caffeine, has got L-citrulline taste phenomenal that's a great opportunity for us. Then the other opportunity is, we have in Celsius BCA sub line recovery line as lower caffeine, it's got tart cherry, it's got electrolytes in it and also has an immunity boost as well.

So sub lines, we do have those coming that have been organically created internally. We're also looking at hydration opportunities, protein opportunities. We do our -- have our fast protein snack portfolio, which is currently being sold on Amazon. That is -- although it's a small base of done fairly well, we continue to nurture that, but we're being very methodical on our approach and our resource allocation.

So we're putting all of our resources mainly behind our core portfolio to drive that out. And as we continue to scale, we continue to evaluate and we'll be able to come up bring these other lines to mainstream retail at the right time. This timing and sequencing is key. And then opportunities come up, we'll evaluate them as they present themselves and our main focus is to drive shareholder value. And if it's going to be accretive to earnings and accretive to the profits, we'll take a look at it and evaluate it, but it's very important that we don't distract the opportunity we have here with the core portfolio.

A - Edwin Negron {BIO 20717398 <GO>}

Yes. From my perspective, yes, things that obviously be synergistic that have the same routes to market, those kind of things something like John and I, if we see that type of opportunity with gross margins, obviously they're going to be evaluated.

Q - Bruce Williams {BIO 5591374 <GO>}

And guys, you just commented on focusing on the core. Can you maybe touch on just how supply chain headwinds or cost inflation has affected the company? And we obviously saw that come through a little bit in margins on the latest earnings release, but any color on that front that I think would be helpful for folks.

A - Edwin Negron {BIO 20717398 <GO>}

Yes, absolutely. Yes, it's almost like a perfect storm as it relates to. We have -- we had impacts on the margins related to freights, even some of these containers that we have to utilize the bring over significant increase in costs, storage costs, that kind of thing. We also had some pressure in terms of re-works and things of that nature.

We're also establishing which we think in the long-term is going to drive a lot of efficiencies and synergies in the business is the six orbit model. So we've had to redeploy inventory, we've had to build inventory and move it around, get in the right location, so that it's closer to our co-packers, it's closer to our clients, our distribution

and that should then subsequently drive a lot of synergies and improvement in our mortgage going for.

A - John Fieldly {BIO 17560616 <GO>}

Yes. And I think when you look at the third quarter, we bought cans, we have can pandemic that took place here. So we made a cognizant decision on the cars that you were dealt to by international cans and at the time, I think the company did the best thing for the overall business. We secured cans not only in Europe and Asia and the Nordics and challenges we had now is we have a prepaid for a lot of cans.

Unfortunately, we didn't have relationships, but we needed cans otherwise would be out of business. And I think you're seeing a lot of the revenues that we generated and the opportunities we had to grab additional market share and meet the demand was really a great strategy for company to purchase those products versus relying solely on the US production, which mainly include wrap cans which we move further deteriorated margins.

But when you look at that, we've identified in the third quarter about 7% of our gross profit is really, I want to call it transitory, of which 3% as Edwin mentioned, associated with rate. So that's the inefficiencies with our supply chain. We feel by optimizing the supply chain with our six orbit model, will be able to reduce freight by approximately 3% and then the importation of the cans and the high cost of those cans, we have identified about 4% of our cost of goods impact in the quarter is associated with those cans.

Now we will have to cycle through these cans. We have about 600 containers floating somewhere in the Pacific that we're trying to and hopefully we'll washing sure one day. These cans were ordered back in February. So they've been slowly washing off shore, but we're going to have to cycle through these.

So we said in our call, we're looking at probably to a mid-year 2022, and so recycle through some of these cans. The good news is -- well, the bad news is I guess where the spikes seltzer business that you talked about. The good news is we didn't get into that, which I think is a positive because you go back about eight months, who would have thought that that the spikes business going to slow the way it did and what's taking place there.

So there has been cans that have come available in the US and that's great because of the supply chain constraints we've experienced with these cans, we were able to buy cans on spot rate. So we bought cans in the US as well, but it's -- we are able to secure US cans going forward in 2022. So we will not be relying on these international cans once we cycle through unless things change in the current environment. And if we have to buy international cans, we have great relationships now with international suppliers, so we'll be able to work there.

A - Edwin Negrón {BIO 20717398 <GO>}

Yes. The only other thing to keep in mind that we always want to provide some perspective is that our custom good sold includes sprayed out. So if you normalize that to give you a better perspective of the true performance when you benchmark us other -- with other competitors, we're probably closer to 50% on a pro forma basis. So again, just want to give some perspective on that because the cost of goods sold is somewhat inflated because we are including thus far.

A - John Fieldly {BIO 17560616 <GO>}

And I think that's where you going to see and we talked about that 3%. We're going from two warehouses, we're shipping across the country, two warehouses to six, so you're really shortening that transit time. Now we are experiencing about a 20% increase in overall freight cost. But in general, that was absorbed as well on off course. We do have some inflations that's kicking in, but that 7% is what we identified we think will be optimized as we continue to go forward, but the next several quarters will be impacted.

Q - Bruce Williams {BIO 5591374 <GO>}

And how do you guys think about price in this environment? Any comments you would make on kind of a pricing strategy perspective?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean, a lot of discussion around pricing. I mean, everyone's taking price from just not saying, we're taking front line pricing. Everyone is optimizing their promotional strategies. You can see that I was at a Chevron the other day and you can see the promotions that Rebel is running. It was running to two Monster is doing 475 that used to be \$2, will be a \$4 buy.

So everyone's going up like \$0.50. It seems like a lot promotions on two can deal. So basically, everyone's going up about \$0.25 a can it seems like. We've been working on our promotional strategies. Just like Red Bull and Monster, we haven't taken frontline pricing, but there is differences. I mean, in general, you can increase price without taking frontline pricing. So I mean, there's things there that are taking place, but we're going to continue to evaluate. We do have pricing strategies in place and we're monitoring that closely.

Q - Bruce Williams {BIO 5591374 <GO>}

Great. Thank you. And clearly a lot to focus on from a top line growth perspective and innovation perspective and from a supply chain perspective. But could you comment briefly on how the company thinks about M&A, whether it be new geographies, categories or otherwise?

A - John Fieldly {BIO 17560616 <GO>}

Like the category we said before, I mean, Edwin might willing to look at an opportunities as long -- if it's accretive to our shareholders. We're not actively looking at the moment, but if there's a bolt-on that makes sense and that fits in with

our synergies. We're able to have an accretive transaction that we can further leverage to drive shareholder value.

We will take evaluated, but I think I still go back with the comment that it's important that the company really stays focused right now in regaining. We just talked about the massive opportunities that new distribution that needs to come online, further building out our key accounts team or distribution management team.

The value creation by having a national distribution network and being able to optimize that and manage that does open up a ton of opportunities down the road once it's optimized to bring on other brands that will benefit from the same route to market. So, there's a ton of value creation, that's great just by this DSD.

A - Edwin Negron {BIO 20717398 <GO>}

Yes. I mean, just to add to add. Yes, I fully agree with John. I mean, the opportunity here is in US now as it relates to international markets were instant then, my perspective is always been identified a good partners, massive distributors where you win more revenues US dollars, you won't have a significant footprint in the countries, you don't have any of the risk collecting receivables inventory is that kind of thing.

And subsequently, when they build a brand hopefully, we get a good market share there and you look at perhaps adding that or bolting that on. But to me, that's the models will follow international expansion, but clearly the emphasis or focus is here in the US.

Q - Bruce Williams {BIO 5591374 <GO>}

Great. And can you guys provide a brief update on the Amazon relationship? I know, you had the recent launch in Amazon Europe. And can you maybe just couple that with general commentary on the company's geographic focus moving forward? Just two questions and one there.

A - John Fieldly {BIO 17560616 <GO>}

I mean, Amazon is actually phenomenal. I mean, it's a -- that's what makes us really excited here. Edwin and I talked about a lot of Amazon. We have 18% share in Amazon in the US, number two energy drink being sold. And we just recently surpassed Red Bull.

So I mean, that's phenomenal, given that there's an equal playing field and if you consider Amazon is the general population that consumers have to take like \$25 to \$30 to buy a warm 12-pack to take it home to drink it as part of a daily lifestyle, daily routine. That's a loyal consumer that does that. So that would excite us about the major opportunity.

And then, if you look at the Nielsen scan data where we're sitting at a two share and as you mentioned, a lot of runway ahead on new doors, optimization of existing

doors. It's just exciting to see where we're at here and the opportunity that lies when you look at what's taking place that has taken place over the years on Amazon.

So but on Amazon, they're growing internationally as well and due to the success in the US and Edwin mentioned internationally, due to the success in US, we're able to talk to some interesting larger potential partners going forward. So this is going to continue to grow. We see just launched in the UK and Germany. Through Amazon, we do have Celsius available now, we also have our protein snack portfolio available online as well and we're looking at other markets.

So that's just the initial rollout. We're continue to monitor that. We see what continue to go, but I think international has a huge opportunity, especially in Europe and in Asia as well. We just launched recently in South Korea, last year in Malaysia has lots of opportunity obviously impacted by COVID and things.

But we're seeing health and wellness trends in Europe and in the US and Asia. These are global trends that Celsius is really resonating with is healthy, better for you, functional, health and wellness fitness, lifestyle position is a broad position.

A - Edwin Negron {BIO 20717398 <GO>}

Yes. The only thing I would add again is with Amazon and especially international, like John mentioned, in UK and Germany, it's very much in line, which I -- with our asset light model, again small footprint. So something that we're also very excited about.

Q - Bruce Williams {BIO 5591374 <GO>}

Great. And I know we're -- I think we're a minute over here, guys. So any parting thoughts you'd like to share?

A - John Fieldly {BIO 17560616 <GO>}

No. Really appreciate everyone's time. I think it's exciting to look at our third quarter results. The company is performing extremely well that makes extremely dedicated team. Really excited about the future. The category is under disruption and we continue to push Celsius Board here. So go out and grab a Celsius near you.

Q - Bruce Williams {BIO 5591374 <GO>}

I'll echo that. Thanks a lot, guys. We really appreciate the time, and thanks a lot for sharing these thoughts. With that, we'll conclude this session here. Thanks again.

A - John Fieldly {BIO 17560616 <GO>}

Thank you for the opportunity.

Q - Bruce Williams {BIO 5591374 <GO>}

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